

a preferred selling at 125. In the one case the earnings are 25%, and in the other only 16%, on the market price. The dollars-per-share figure loses all comparative value when the par value is less than \$100, or when there is no-par stock with a low dividend rate per share. Earnings of \$18.60 per share in 1931 on S. H. Kress and Company 6% Preferred (par \$10) are of course far more favorable than earnings of \$20 per share on some 7% preferred stock, par \$100.

Calculation of the Stock-Value Ratio. The technique of applying this test to preferred stocks is in all respects similar to that of the earnings-coverage test. The bonds, if any, and the preferred stock must be taken together and the total compared with the market price of the common stock only. When calculating the protection behind a bond, the preferred issue is part of the stock equity; but when calculating the protection behind the preferred shares, the common stock is now, of course, the only junior security. In cases where there are both a first and second preferred issue, the second preferred is added to the common stock in calculating the equity behind the first preferred.

**Example of Calculation of Stock-value Ratios for Preferred Stocks
Procter and Gamble Company**

Capitalization	Face amount	Low price 1932	Value at low price in 1932
Bonds	\$10,500,000		
8% pfd. (1st pfd.)	2,250,000	@ 140	\$3,150,000
5% pfd. (2d pfd.)	17,156,000	@ 81	13,900,000
Common	6,140,000*	@ 20	128,200,000

* Number of shares.

A. Stock-value ratio for bonds	$\frac{3,150,000 + 13,900,000 + 128,200,000}{10,500,000}$	= 13.8:1
B. Stock-value ratio for 1st pfd.	$\frac{13,900,000 + 128,200,000}{10,500,000 + 3,150,000}$	= 10.4:1
C. Stock-value ratio for 2d pfd.	$\frac{128,200,000}{10,500,000 + 3,150,000 + 13,900,000}$	= 4.6:1